

Luminary AI, Inc.

548 Market St, Suite 910, San Francisco, CA 94104 | EIN 47-3821059

Research & Development Expense Report

Period: Q1 2025 (January 1 - March 31, 2025) | ASC 730 Treatment

Accounting Treatment:	Research costs expensed as incurred (ASC 730)
Book Treatment:	Full expensing on P&L
Approver:	CFO -- Dana Reeves

R&D SPEND BY CATEGORY -- Q1 2025

Category	Jan	Feb	Mar	Q1 Total	% of Total
Model Training (GPU compute)	\$48,200	\$51,400	\$54,800	\$154,400	38.1%
Engineering Labor -- R&D	\$42,500	\$42,500	\$45,000	\$130,000	32.1%
Data Acquisition & Licensing	\$18,000	\$18,000	\$20,000	\$56,000	13.8%
Software Dev Cost expensed	\$10,200	\$10,200	\$11,400	\$31,800	7.8%
Research Contractors	\$12,000	\$12,000	\$12,000	\$36,000	8.9%
Prototyping & Lab Materials	\$1,200	\$1,400	\$1,600	\$4,200	1.0%
TOTAL R&D SPEND	\$132,100	\$135,500	\$144,800	\$412,400	100%

R&D AS % OF REVENUE

Q1 2025 Revenue:	\$452,000
R&D / Revenue:	91.2% (stage-appropriate for Series A AI company)
Headcount in R&D:	18 of 28 FTEs

ACCOUNTING NOTES

All research and development costs are expensed as incurred in accordance with ASC 730. Development costs expensed include labor, cloud compute, and third-party data. Internal-use software costs under ASC 350-40 are evaluated separately; no capitalization threshold has been met in Q1 2025. R&D expenditure documentation maintained in Notion and Ramp expense system.